GL – TRADE COMPLIANCE
AUDIT PROGRAM #32-30-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
March 2026	All	All	Jusefina Mueller	Updated all tests to improve clarity Updated links
January 2025	Self-Serve Information; Reference Material; Audit Protocol - Required Reading	Planning	Jusefina Mueller	Updated links Removed link to PROC146 (rescinded September 2024) Removed auditable entity listing
February 2024	Process and Objective	Planning	Jusefina Mueller	Added Self-Serve Information
December 2023	All	All	Jusefina Mueller	Updated links throughout document
August 2023	Key Control Questions: 4. Customs Risk Management 6. Compliance	CR004.P CO002.P	CA&AS	Added Primary Test information not previously copied to Box Added last Approach bullet not previously copied to Box
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

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PROCESS AND OBJECTIVE

This program supports internal audits of global trade compliance, including export technology controls and import compliance. It is designed for global use across IBM locations. Some jurisdictions do not import certain products (e.g., goods subject to anti-dumping or countervailing duties) or do not participate in certain programs (e.g., free trade agreements). Auditors should confirm test applicability with the local teams before starting the review.

Global trade compliance involves complying with:

- Export technology controls
- Customs regulations
- Requirements of government agencies

IBM participates in multiple trusted partnership agreements and trade programs with Customs authorities around the world, and compliance with these program requirements is mandatory.

Regardless of outsourcing arrangements or source of supply, if IBM is the importer of record (IOR)*, IBM is responsible for ensuring goods are imported according to law. IBM may authorize a broker to act on its behalf, but accountability remains with IBM. Several organizations contribute to the accuracy of information provided to Global Logistics (GL). Corporate Instruction (CI) GRA 122 and CI Finance (FIN) 138 define responsibilities of IBM organizations for Customs, import compliance and supply chain security.

The end-to-end physical import process begins with order placement by an IBM site or branch from a supplier or inter-company source. The process continues with shipment, transported to port of entry, Customs clearance (based on invoice, associated documentation, and system data), and delivery to the receiving locations. The process ends with finalization and reconciliations, when Customs completes the entry and payments are processed.

GL oversees logistics providers who perform daily operational Customs activities, including working with brokers, preparing declarations and supporting documents, managing special import procedures and programs. GL relies on accurate information from upstream IBM organizations to ensure correct declarations. In some geographies, responsibilities are structured differently, which will be explained during the process reviews. Additional responsibilities are detailed on the Import Regulations Office (IRO) website.

Export compliance covers IBM and government requirements over the export, re-export and delivery of IBM products and services. GL is responsible for tangible/physical movements: hardware, components, tools, test equipment, materials, etc. Software, technology, and services are not in scope of GL.
The United States (US) extends controls to products made outside the US if they contain US-origin components, materials, parts or are the direct product of the US technology. While some hardware developed and produced outside the US may qualify for exemption, most IBM products and technologies are assumed subject to US and local export regulations. The exporting location must ensure compliance with the import requirements of the receiving country, which is the responsibility of the local Import Requirements Executive (IRE).

Key IBM corporate instructions outline organizational responsibilities and requirements relevant to the audit scope: GRA 101, GRA 102, and GRA 104 (see links to CIs in section Reference Materials).

PLANNING: Audit Program Risk Alignment

GL – Trade Compliance

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Classification	High	Classification	IC001.P, IC002.P
Customs Declaration	High	Customs Declarations	CD001.P, CD002.P, CD003.P, CD004.P, CD005.P
Export Regulatory Controls	Medium	Export Regulatory Controls	EC001.P, EC002.P
Customs Risk Management	Medium	Customs Risk Management	CR001.P, CR002.P, CR003.P, CR004.P
Monitoring	Medium	Monitoring	MO001.P
Education and Awareness/Compliance	Low	Compliance	CO001.P, CO002.P, CO003.P, CO004.P, CO005.P

PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The Data Analysis engagement procedures in the Audit Manual (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	**Analysis to be Performed**	**Possible Anomalies**	**Concern**
Export shipments	Export-to countries with restrictive US export controls (see ERO), new products, non-IBM products, cryptographic products, manual invoices, same product or part number with different classifications, exports to non-standard IBM locations, and products shipped from a lab.	Shipments prior to announcement of new product, inconsistent product classification, and cryptographic products shipped to restricted countries.	Violation of export regulations, loss of export privileges, and fines.
Customs declarations (or entries) and support documentation such as commercial (shipping) invoices, billing invoices, air waybill, packing lists, delivery notes, confirmations, etc.	Ensure consistency between documents. (Note: accuracy (vs. consistency) of statements on the invoice is tested separately). GL is responsible for consistency, tested above. Declarations made based on the invoice.	Inaccurate, incomplete, or untimely Customs declaration.	Inaccurate and incomplete declarations to Customs resulting in fines, penalties, delays to the supply chain, requiring corrections to Customs declarations (where permitted).
Licenses, permits	Ensure valid at the time of import for the article licensed. Ensure terms of agreement are complied with.	Imported article vs. license terms and conditions must be in place prior to import.	Fines, penalties, delays to the supply chain.

PLANNING: Data Analysis (Continued)

Data to be Analyzed	**Analysis to be Performed**	**Possible Anomalies**	**Concern**
Purchase Orders and Contracts, Ledger	Validate information against billing invoice(s) and declaration to Customs regarding imported products. Price paid to supplier equals amount declared to Customs (see valuation section).	Incorrect descriptions, unit price.	Inaccurate declarations to Customs.
Transaction Testing - International Shipment Testing Tool (IST) repository of transaction testing results (when used—not mandated).	List of all transaction test results.	Discrepant imports. High number of unresolved errors. Aged Action Plans.	Ineffective identification and correction of errors. Inaccurate management reporting. Incorrect imports.

PLANNING: Self-Serve Information

Some information previously included in the Initial Data Request (IDR) items which continue to be relevant information in audits will now be extracted directly by the audit team. These are as follows:

Information previously in IDR	Instructional Materials to download information and applying for access to the source tool
Mission statement and responsibilities	https://w3.ibm.com/w3publisher/procurement/global-logistics/trade-compliance Note: The business model should be presented during the process interviews.
Process links	https://w3.ibm.com/w3publisher/procurement/global-logistics/trade-compliance
Address Work File (AWF)	https://awf.globallogisticstools.ibm.com/AWFQuery.jsp Auditors should request access to AWF Glaim Tool - desired portal role is “IBM USERS”
Shipping Procedural Instructions (SPI) (Auditors should request Reader access to SPI website)	https://w3.ibm.com/w3publisher/procurement/global-logistics/trade-compliance/global-shipping-procedural-instructions
Controls self-assessment and risk evaluation	Use Business Controls OpenPages Note: Any additional material related to control posture / risks should be shared during the engagement kick-off.
Business continuity plan (BCP)	Use OpenPages for business continuity management (BCM) Access request: https://w3.ibm.com/w3publisher/global-bcm/openpages-bcm-access

PLANNING: Reference Material

Corporate Instructions (CI)

GRA 122 - Responsibility for Customs, import compliance and supply chain security

GRA 101 - Boycotts by foreign countries - worldwide prohibition and reporting obligation

GRA 102 - Export, re-export, and delivery of United States hardware, software, and technology: IBM requirements and organizational responsibilities

GRA 104 - IBM business operations under the International Traffic In Arms Regulations (ITAR): IBM requirements and organizational responsibilities

Websites

Import Regulation Office (IRO), include import policy, classification, country of origin, education, quick links, etc.

Export Regulations Office (ERO) include US Export Regulations Program (USERP), denied parties, education, etc.

Global Logistics

Tools and Applications

Shipping Procedural Instructions (SPI) (registration required - contact GL)

Address Work File Search

Other Information

Instructions for Cross-border Shipments to IBM Corporation (aka Supplier SPIs)

PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	**Typical Controls that should Detect the Fraud Risk**	**Testing Approach**
Intentional declaration of incorrect or incomplete information to Customs for the purposes of avoiding duty and taxes and import restrictions. Undervaluation of goods on the Customs declaration may result in lower duties and taxes. Inaccurate marking or declaration of country of origin to avoid higher duty. Misclassification of goods which results in a lower duty category. Smuggling: Failure to declare goods and incorrect quantity. Note: Risk of fraud generally mitigated in IBM by trusted partnership participation, automated controls, single-window filing, and electronic transmissions.	Post-entry auditing to confirm consistency between information provided by the shipping location and information declared to Customs regarding value and origin. Tests on classification contained herein with a comparison of duty categories when Common Customs Classification System (CCCS) recommended classification changed.	Select imports of several types subject to duty and tax. Validate the consistency and completeness of information declared to Customs. Validate post-entry audits which monitor the accuracy, consistency, and completeness of information declared to Customs. Validate corrections to declarations were made when errors were detected (where permissible.) Review manual shipments (lack of automated controls.) Determine whether post-entry adjustments were made when permitted to correct information.

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

PLANNING: Audit Protocol - Required Reading

IBM/Logistics Supplier Audit Protocol

This protocol supports reviewers with the structure and expectations for conducting formal reviews, inspections, and or audits involving IBM's logistics suppliers. These engagements assess the control health of key processes and help to ensure strong control posture. This is beneficial to both companies to meet an environment of increasing regulatory and legal requirements.

IBM partners with logistics suppliers who operate their own networks of sub-tier suppliers to deliver IBM's physical logistics services. They are independent legal entities, not owned by IBM. Contracts with third-party logistics providers are managed by the logistics suppliers, not IBM Global Logistics.

The IBM GL Control Tower is the internal auditor's primary contact for planning and executing audit work involving logistics suppliers. Standard advance notification to logistics suppliers is 30 days. Shorter notice may be required in high-urgency situations, such as preparation for a short notice Customs audit. Logistics suppliers designate a contact point for specific engagements. Internal auditors should communicate through the IBM GL Control Tower, not directly.

Inquiries to logistics suppliers should focus on results and not on supplier-owned processes, internal procedures, or work instructions. Because of IBM's regulatory and legal risks/liability, auditors may request data required to test controls, evidence of operational and security measures relevant to trade compliance, and observations at execution-level activities. These requests may involve both the logistics supplier and their sub-tier suppliers. Logistics suppliers are expected to maintain management systems that support IBM's audit requests and respond within 24 hours where reasonable.

Internal audit reports and datasheets should reference logistics suppliers generically as "supplier" or "vendor", rather than by corporate name. However, IBM reserves the right to identify suppliers by their corporate names when necessary and after consultation with IBM Legal. Before agreeing with audit conclusions, IBM GL Control Tower will validate the facts regarding supplier-executed processes with the logistics supplier.

Corrective actions directed at the sub-tier supplier should follow the logistics supplier's management system and, if needed, the change management request (CMR) process established in the Statement of Work (SOW). This should be focused on the results with the sub-tier supplier implementing those actions they deem necessary to deliver the expected results.

IBM/ Trade Compliance Audit Protocol

This process is subject to regulatory requirements and potential external audits by Customs authorities worldwide. Follow Corporate Assurance and Advisory Services (CA&AS) guidelines on Legal and Trust and compliance (TCO) involvement and ensure liaison with Government and Regulatory Affairs (GRA) Legal Counsel when needed. If potential regulatory-compliance findings arise:

- GRA Counsel must review any datasheets and the draft of the final report before sharing with the client.
- Language must avoid implying legal or regulatory conclusions.
- A meeting with GRA Legal and the ERO/IRO must be held to align on handling sensitive findings.

Protocol for Auditing

During the engagement preparation phase, internal auditors will request information on all countries within the auditable entity. This information is used to make a risk-based decision and determine locations, if any, require on-site work to conduct the physical location part of the audit program.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Export Regulatory Controls

Objective:
To determine whether operations were managed in compliance with the IBM USERP and corporate and local procedures governing export compliance requirements.

To confirm that controls are designed and operating effectively to prevent unauthorized exports, ensure timely identification and escalation of potential compliance risks, and maintain complete and accurate documentation.

Risk/Exposure:
Failure to comply with IBM's export requirements could result in significant penalties and potential loss of export privileges. Potential penalties include monetary fines, loss of market access, imprisonment, and debarment.

Context: IBM's export requirements include, among others, requirements related to product, service, technology, and OCEs classification, compliance with license conditions or conditions of use for license exceptions, restricted party screening, anti-boycott compliance, and economic sanctions.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Export Regulatory Controls
Primary Test: Denied Parties List (DPL) Screening (EC001.P)

Note: This test applies for transactions involving parties not included in IBM's customer master record (CMR) and/or vendor master file (VMF). In these cases, screening responsibility may shift to logistics operations and/or vary by country. Also, see section Address Work File (CO002.P) for additional DPL controls.

Objective:
To determine whether operations were effectively managed to ensure all relevant export and re-export transactions were screened against IBM's DPL and prevent physical movement of goods until potential matches are resolved, in accordance with USERP Section 4 and local procedures.

Process Review Approach:
Review policies and procedures, internal control programs (ICP), and discuss controls with the process owner to determine the following:

- Written procedures exist describing how DPL screening is performed, including:
  - The requirement that all export and re-export shipments are suspended when a DPL match is found until resolved.
  - The requirement that logistics suppliers used for IBM export operations, that are not part of the VMF, are screened before engagement.
  - The use of IBM's DPL tool/feed and documentation requirements.
  - Process for evaluating, communicating, and escalating potential DPL matches.
- Roles and responsibilities are clearly defined, including GL, logistics suppliers, and screeners.
- IBM screeners have received required training and can explain what they are doing and why.
- IBM GL Control Tower oversight mechanisms exist and include monitoring of supplier's use of the IBM's DPL and compliance with IBM's requirements.

Sample Testing Approach:
Use available IDR data with export shipments. Where shipments involving parties not part of VMF or CMR are identified, perform sample testing of the DPL screening. Review evidence and validation criteria for each sampled case to confirm that:

- DPL screening was conducted before any physical movement, in line with the guidelines.
- Screening evidence was complete, including screening date, screener identity, screening result, and documentation was retained.
- For cases with potential matches, shipments were held, escalations were performed according to the documented procedure, and final release occurred only after proper authorization.
- Any exceptions were recorded and addressed in line with defined procedures, and oversight mechanisms identified any deficiencies.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Export Regulatory Controls
Primary Test: International Boycotts (EC002.P)

Objective:
To determine whether operations were effectively managed to ensure IBM did not comply with non-sanctioned boycotts and that any boycott-related requests received were promptly reported to the responsible legal representative and management.

Process Review Approach:
Review USERP Section 5 Part 2, GL procedures and discuss controls with the process owner to determine the following:
- Written procedures exist addressing identification, handling, and reporting of boycott-related requests.
- Relevant roles and responsibilities and training requirements are clearly defined.
- Procedures require immediate reporting of boycott requests to management, Legal, the responsible operating unit export regulation executive (ERE)/ export regulation coordinator (ERC), and the ERO.
- Procedures describe specific areas where boycott requests could be received.

Sample Testing Approach:
For any boycott requests received by IBM GL or their logistics suppliers during the audit period, review evidence and validation criteria to confirm that:
- Boycott requests were:
  - Reported promptly as required.
  - Refused with clear documentation.
  - Properly reported with details aligned to USERP Section 5 Part 2.6.
- Documentation evidencing the refusal, escalation, and communication process was complete, traceable, and retained according to USERP.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Classification

Objective:
To determine whether risks were adequately managed to ensure timely, accurate, and consistent classification of all imported and exported products.

Risk/Exposure:
Incorrect or inconsistent classification may result in duty/tax errors, improper use of trade programs, noncompliance with restrictions/quotas (applicable to defined goods), shipment delays, post-clearance adjustments, penalties and loss of trading privileges, inaccurate trade reporting, and incorrect export authorization determination.

Context: Merchandise imported into a country is classified (categorized) under an internationally recognized "Harmonized Commodity Description and Coding System" or "Harmonized System" (HS), although there are some country-unique requirements.

Accurate classification is dependent on complete, accurate description of the goods. Classifying goods is important not only for duty purposes, but also to determine whether the goods are subject to quotas, restraints, embargoes, or other restrictions. As classification of some products can fall into "gray" areas - where the classifications in the HS are ambiguous and subject to varying interpretations - an importer can approach local Customs authorities for rulings, sometimes known as "Binding Tariff Rulings." In addition, there are some instances where earlier decisions on classifications are changed by the authorities. To ensure compliance, IBM's classification must reflect the change on the effective date.

Risk Signals Examples:
- Same product number used with different HS codes during the review period (Note: Classification changes are risk but not necessarily an error).
- Recent CCCS/HS mapping changes, incl. change back and duty refunds/collections tied to classification changes.
- New products, or products without CCCS mapping for the country, manual classification.
- Products imported frequently (higher exposure if wrong).
- Products/HS codes linked to special programs, restrictions, ADD/CVD potential, etc.
- Customs challenges, penalties, or broker disputes.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Classification
Primary Test: Classification of Goods for Customs Purposes (IC001.P)

Objective:
To validate whether risks were adequately managed to ensure timely, accurate, and consistent classification of all imported products.

Process Review Approach:
Review procedures and applicable rules for classification activities, and discuss controls with the process owner to determine the following:

- Unique import classification is determined based on the defined rules and Customs schedules.
- Classifications are regularly reviewed based on defined criteria. Results were reported to management.
- Challenges to IBM classifications by Customs and penalties due to misclassifications are reviewed by management and tracked to timely closure. Action plans are established to address the root cause. The classification system is updated timely.
- Controls are in place to detect and prevent unauthorized changes to classification.
- Process is in place to confirm that back-owed duties are paid or requests for refunds are considered when classification changes result in duty changes. Changes are tracked, trended, and dispositioned properly.

Sample Testing Approach:
Obtain classification universe for the audit period for the audited entity: product number/ part number, HS code, effective date, change history. Link it to the import entry universe for the audited entity (see IDR) using product/part number and date.
Use available data and process knowledge for risk-based sampling, including where applicable:

- Same product number mapped to more than one HS code in the same country during the audit period.
- HS code changes during the audit period.
- Items classified via manual research or outside CCCS/standard workflow.
- Product numbers with the highest number of import transactions/entries (frequency-based exposure).
- Items involved in Customs challenges, rulings, penalties, holds, or post-entry adjustments (if logs exist).

Review evidence and validation criteria for each sampled case to confirm that:

- Support exists for the defined classification (rationale, technical description and ruling if applicable).
- Approval/change control exists for initial classification and subsequent changes (who approved; effective date followed).
- HS on Customs entries matched the approved HS mapping. For those that were inconsistent, confirm that they were classified according to country-unique requirements and there was supporting documentation available to explain the difference.
- Authorization controls: only authorized roles can change classification; changes are logged and reviewed.
- Where classification changed: verify documented assessment of duty impact (back duties/refunds/adjustments) based on the entries reviewed.

Location: This test can be performed remotely from a central location.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Classification
Primary Test: Export Commodity Control Classification (IC002.P)

Objective:
To confirm that the export classification used for exports and re-exports of tangible articles (e.g., finished products, assemblies, parts, materials, etc.) was obtained only from IBM-authorized sources, and that export authorizations/instructions (e.g., license, license exceptions, etc.) applied to those shipments were correct and followed.

Process Review Approach:
Review the export classification governance to determine whether:
- Export control classification sources are defined (authorized tools/tables) and updates are managed (version control, effective dating, timely table updates when issued by ERO/authorized owners).
- Roles and responsibilities were clear for creating, updating, approving, and communicating export classifications and licensing instructions to GL and logistics suppliers.
- Controls exist to prevent/detect use of incorrect/unauthorized usage of classifications and to manage exceptions (manual overrides, missing classification, urgent shipments).

Sample Testing Approach:
Obtain ECCN classification universe for the audit period for the audited entity: product number, ECCN code, effective date, change history. Link it to the export/re-export entry universe for the audited entity (see IDR) using product/part number and date.
Use available data and process knowledge for risk-based sampling, including where applicable:
- New products or products with classification changes during the period.
- Shipments to higher-risk destinations or destinations with restrictive export control considerations.
- Items known to be sensitive (e.g., cryptographic functionality, advanced computing components, dual use), where applicable.
- Re-exports or transshipments.
- Manual/exception shipments (manual invoices, overrides, urgent/expedited handling).
- Shipments that required special instructions or escalations (holds, blocks/unblocks, exception approvals).

Review evidence and validation criteria for each sampled product/part number to confirm that:
- Export control classification is traceable to an authorized IBM source (tool output, approved database/table, or official instruction).
- Where classification definition changed, evidence shows approval, effective date, and timely update to operational tables/workflows.
- Export control classification and authorization used on the shipment documentation/system match the approved classification and instructions.
- The authorization type used (license/exception/NLR) matches the instruction provided by the authorized classification/authorization owner.
- Where shipments used manual override or exception process, confirm documented approval/ escalation and corrective action (as applicable).

Location: This test can be performed remotely from a central location.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Customs Declarations

Objective:
To validate whether declarations to Customs and other government agencies submitted on IBM's behalf were complete, accurate, consistent with supporting documentation, and compliant with country-specific requirements; that the key inputs to declarations, including invoice quality, assists, quantities, weights, dimensions, and country of origin, were captured and communicated correctly; and that corrections were made when required.

Risk/Exposure:
Inaccurate or inconsistent Customs declarations could result in fines and penalties, delays to shipments, and unnecessary rework.

Risk Signal Examples:
- Manual invoices or entries, or shipments routed outside standard processes/forwarders.
- Frequent corrections/post-entry adjustments (PEA), credit notes, or late-identified valuation elements (freight, insurance, uplift, royalties).
- Complex or high-variation invoices (finished goods + parts/ miscellaneous equipment specifications (MES)/software/options).
- Supplier invoices with incomplete or inaccurate information.
- Consignment goods or intercompany flows with added valuation/origin complexity.
- High-risk brokers or lanes with recurring Customs holds or error history.
- Items with recent HS code changes or discrepancies identified in IC001.P (see above).
- Country-unique requirements not consistently reflected in procedures.
- Repeated inconsistencies in origin, value, quantity, weights, or dimensions across documents.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Customs Declarations
Primary Test: Customs Declarations (CD001.P)

Note: The accuracy of source information on the invoices related to product cost value, description of items, and origin is tested within processes which produce them. In outsourced environment, Customs declarations and supporting entry documentation are maintained by Customs brokers/agents managed through logistics supplier. Value of goods on declarations is a key focus in external audits.

Objective:
To validate whether declarations to Customs and other government agencies were complete, accurate, consistent with supporting documentation, submitted on time, and corrected when permitted or required. Because commercial invoices form the basis for Customs declarations, the testing should verify that the data provided to brokers (including invoice details) was used consistently and met Customs requirements. Invoice content, format, and key measurements (quantity, weight, dimensions) is addressed in CD003.P.

Process Review Approach:
Review the documented process and the contracts with logistics suppliers, and discuss controls with the process owner to determine the following:
- Controls are set (e.g., in the contract, etc.) to ensure logistics suppliers and brokers provide complete entry audit packets and declarations upon request, with defined request process, timelines, SLAs, tracking, and escalation.
- Roles, responsibilities, and instructions between brokers, logistics suppliers, and IBM are clearly defined and communicated.
- Controls are set to ensure information declared (HS code, country of origin (CoO), value, quantity, pre-loaded software, etc.) is consistent with supporting documents, local requirements are met, and “obviously erroneous” information is questioned and resolved.
- Country-unique regulatory requirements are identified, reflected in procedures (e.g., SPIs), and regularly reviewed.
- Rules are clearly defined to enable that records supporting entries and corrections are retained and retrievable per local requirements.
- Documented processes exist for identifying and executing corrections and PEA (where permitted) and tracking them to resolution (including triggers such as credits/corrections).
- Periodic post-entry audit reviews are performed checking the consistency of information declared to Customs on IBM’s behalf.
- A process is defined to resolve incomplete or inaccurate supplier invoices that could compromise declaration accuracy.
- Controls applicable to manual entries and challenges associated with them.

Sample Testing Approach:
Use available IDR data (import reports, Customs declarations, corrections, duty paid) and process knowledge for risk-based sampling, including where applicable:
- Manual invoices/entries and shipments outside standard routing/forwarders.
- Entries with valuation complexity (uplift, freight/packing, insurance, royalties/pre-loaded software, program charges, unusual incoterms).
- Transactions with credit/correction invoices or known PEAs.
- Invoices with many item types: finished goods, parts, MES, IBM field-installed changes to machines, options, features, pre-loaded software.
- Imports from suppliers.
- Consignment goods, incl. customer solution center (CSC).
- Ad hoc shipments: exports from / imports to the location (from all sources).

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Customs Declarations
Primary Test: Customs Declarations (CD001.P)
(Continued)

- Entries associated with brokers/lane patterns showing higher error rates, Customs holds, or inquiries (if monitoring logs exist).
- Items with HS code changes or inconsistencies identified in IC001.P.

Review evidence and validation criteria for each sampled transaction to confirm that:

- Information on declaration to Customs was consistent with data on commercial invoices, purchase order (PO) or billing invoice from IBM vendor, packing list, transport documents (air waybill (AWB)/ bill of loading (BOL)), broker entry worksheet/summary, and any correction/PEA documentation, where applicable.
  Note: A billing invoice is an invoice from IBM vendor that is registered in Accounts Payable (AP). Commercial invoice is usually attached to the shipment for Customs purposes. The match of the billing invoice to the PO and the ledger entry are out of scope for GLTC and is covered by the AP process.
- Additions listed on the invoice, such as pre-loaded software for Customs purposes (royalties), program charge, Inter-Company Agreement (ICA) or other invoice additions were included in the value declared to Customs by the broker.
- Any specific requirements related to additions to the price paid or payable were adhered to, including items such as uplift, freight, packing, insurance, domestic transportation, etc.
- Declarations were prepared in line with country-unique requirements.
- Credit/correction invoices were evaluated and PEAs made, where appropriate and permitted.
- Records, including evidence of reconciliations and adjustments, were maintained as per local Customs requirements for the proper period stated by the country regulation from the date of entry.

Location: This test can be performed remotely from a central location.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Customs Declarations
Primary Test: Assists (CD002.P)

Context: "Assist" is a required addition to the Customs value when goods or services are provided by the buyer free of charge or at reduced cost for use in producing the imported merchandise, and the value was not included in the price paid or payable. It includes:

1. *Materials, components, parts, and similar items incorporated into the imported merchandise.*
2. *Tools, dies, molds, and similar items used in the production of imported merchandise.*
3. *Merchandise consumed in the production of imported merchandise.*
4. *Engineering, development artwork, and plans and sketches performed outside of the country of import when necessary for production of imported merchandise. Note: These services are not treated as assists if performed by someone domiciled in, employed in, or acting as an agent of the buyer within the country of import, or if incidental to similar work performed domestically.*

Assists in IBM occur when an organization provides goods or services to international suppliers (internal or external), that contribute to the production or sales of goods imported by IBM. These organizations are responsible for informing GLTC of any assist scenarios for Customs declaration purposes. IRO Import Internal Control Program (IICP) requires an annual review of assist processes with relevant enterprise-wide owners. Manufacturing, supply sources (including laboratories), and procurement, are required to review IICP Assists questions with IRO each year.

Objective:
To validate whether assists were completely, timely, and accurately identified, communicated, and declared to Customs and other government agencies consistent with information from IBM and its suppliers, and required and permitted corrections were made. To confirm that the declared Customs value reflects the price paid or payable for the goods plus applicable additions (assists, commissions, brokerage fees, packing, patent/royalties/license fees, and resale proceeds). Depending on the terms of sales, transportation, insurance, and handling charges must also be included.

Process Review Approach:
Review documented procedures, controls, and relevant communication to determine the following:

- Upstream organizations are required to identify and communicate assist scenario or models to GLTC, and this requirement is documented clearly.
- Controls exist to ensure assists appearing on commercial invoices are captured and included in the Customs value.
- Any documents of understanding (DOU) between the GLTC and other organizations define responsibilities for assists identification and sharing of necessary data.
- GLTC has documented procedures for timely identifying, assessing, and accurately declaring assists that were not included in the price paid or payable (including review of consignment goods at supplier locations and internal/external manufacturing facilities, intercompany payments for goods, additional payments to the supplier that may qualify as assists where applicable).
- A process exists to track open assist cases to ensure completeness, timely declaration, and management review of aged items.
- Documentation requirements for assist evidence, valuation, and declaration are defined and aligned with country-specific retention periods.

Sample Testing Approach:
Obtain universe of assist related transactions. Also, use known assist scenarios communicated during the IICP annual review. Additionally, use the invoices from import/export universe with potential assists. Review evidence and validation criteria for each sampled item to confirm that:

- Assist value (or allocated portion) was added to the Customs value when required.
- All supporting documentation was retained according to local requirements.

Location: This test can be performed remotely from a central location.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Customs Declarations
Primary Test: Invoice Quality (CD003.P)

Note: This test is limited to the invoice-creation process, whereas consistency between invoices and Customs declarations is addressed in CD001.P. Before testing, the auditor should clarify roles and responsibilities and GLTC involvement in the invoice-creation process.

Objective:
To validate whether commercial invoices were created in accordance with country-specific requirements and internal procedures in terms of content, language, layout, descriptions, and accuracy of quantity, weight, and dimensions, to support compliant Customs declarations.

Process Review Approach:
Review documented procedures and instructions to determine the following:
- Country-unique invoice requirements are identified and incorporated in the SPI.
- Process ensures commercial invoices for production and non-production (ad hoc) shipments are generated consistently and reflect invoicing requests accurately.
- Controls require invoice descriptions to be sufficiently detailed and accurate to support HS code decision.
- For locations using proforma invoices, procedures ensure that proforma content matches billing invoices.
- Processes ensure invoice values on commercial invoices for ad hoc shipments are reviewed and approved by appropriate parties.
  Note: Requesters obtain and retain approvals; GLTC verifies the requester's 'YES' confirmation on the shipping/export request.
- Manual invoice procedures exist, including when manual invoices may be used, how they integrate with reporting systems, and controls to ensure their accuracy.

Sample Testing Approach:
Use available data (import/export reports) and process knowledge for risk-based sampling, including where applicable:
- Manual invoices
- Ad hoc / non-production shipments
- Invoices with complex or multi-component descriptions
- Invoices for countries with strict or unique requirements
- Proforma invoices
- Invoices with recurring Customs holds/past inquiries
- Supplier-generated invoices

Review evidence and validation criteria for each sampled transaction to confirm that:
- Invoice content met applicable country-unique requirements.
- Quantities, weights, and dimensions shown on the invoice were accurate where local regulations require these elements to appear on the invoice. (Shipment document accuracy tests are part of CD004.P.)
- Invoice descriptions were accurate, adequate, and support proper HS classification; recurring inadequate descriptions were identified and addressed.
- Where proforma invoices were used, the information matches the related billing invoice as required.
- For ad hoc shipments, invoice value approval was obtained by the requester and indicated on the shipping instructions/export request.

Location: This test can be performed remotely from a central location.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Customs Declarations
Primary Test: Quantity, Weights, and Dimensions (CD004.P)

Note: This test focuses on data accuracy within shipping processes, whereas consistency between invoice data and Customs declarations is addressed in CD001.P. Before testing, the auditor should clarify roles and responsibilities and GLTC involvement in this process.

Objective:
To validate whether quantities, weights, and dimensions on shipping documentation and invoices (where locally required) were recorded accurately and supported timely and compliant declarations.

Process Review Approach:
Review procedures, controls, and communication processes to determine whether:

- Controls ensure quantities, weights, and dimensions are captured accurately in shipping systems, on physical shipping documentation and labels, and included on invoices where required by local regulations.
  Note: Quantity is a universal requirement. Review country-specific Customs requirements/tolerances related to weights and dimensions and test if applicable.
- Processes exist to detect and correct quantity errors post-entry, including requirements for initiating adjustments to Customs declarations where permitted.
- Procedures define roles and responsibilities between shipping locations and central teams for maintaining and validating accurate measurement data.

Sample Testing Approach:
Use available IDR data (Import/export reports) and process knowledge to select risk-based samples. Use outbound and inbound shipments from central and selected locations, prioritizing transactions where measurement errors have greater compliance impact (e.g., high-value shipments, mixed-item shipments, heavy/oversized cargo).
Review evidence and validation criteria for each sampled shipment to confirm that:

- Quantities, weights, and dimensions shown on shipping documents and labels were accurate and supported by source records (pick lists, pack lists, system data).
- Confirm that weights and dimensions were reported within the tolerances required by the receiving country (where applicable).
- Where quantity errors were identified post-entry, verify that appropriate adjustments to Customs declarations were initiated and completed in line with local requirements.
- Assess whether measurement data was consistently maintained across systems and physical documentation (e.g., pack labels vs. shipping system data).

Location: This test can be performed both at a central location and selected shipping locations.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Customs Declarations
Primary Test: Country of Origin (CD005.P)

Note: This test focuses on the origin determination process and communication flows, whereas testing of declaration accuracy and consistency with the invoice and corrections on Customs declaration is addressed in CD001.P. Before testing, the auditor should clarify roles and responsibilities and GLTC involvement in this process.

Context: Country of origin (CoO) is generally the country where the product was manufactured or where the last substantial transformation occurred, meaning a manufacturing process that results in a new article with a different name, character, or use. Minimal or simple assembly does not qualify as a substantial transformation. This applies to finished products, field replaceable units (FRU), sub-assemblies, parts, software media, manuals, accessories, and supply items, except where IRO grants a marking exemption.

Objective:
To validate whether the CoO declared to Customs was complete, accurate, consistent with information provided to GL by the shipping location.
To confirm compliance with any trade advantage programs dependent on CoO and managed by GL.

Process Review Approach:
Review documented procedures, controls, and communication processes to determine whether:
- Country-unique CoO regulations and marking requirements are identified and incorporated into local SPIs, which are regularly reviewed by responsible individuals and updated timely.
- A documented process exists to identify and comply with any specific CoO import controls or CoO restrictions in special trade programs.

Sample Testing Approach:
Use available data (import/export reports) and process knowledge to select risk-based sample of finished goods, FRUs, sub-assemblies, parts, and any items with historical or known origin complexity.
Review evidence and validation criteria for each sampled case to confirm that:
- CoO declared to Customs matches the origin information provided by the shipping location and documented in shipping records or system data.
- Origin-dependent trade advantage programs (if applicable) met required criteria and were supported by accurate origin data.

Location: This test is performed both at the central location and selected shipping locations.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 4. Customs Risk Management

Objective:
To validate whether IBM identifies, assesses and manages Customs compliance risks across its import activities, including country-unique requirements and external/ internal events*, and that effective controls ensure correct classification, valuation, origin, licensing/approvals, duty treatment (antidumping/ countervailing duty, free trade agreements/special programs), and compliant Customs Free Zones (CFZ) /bonded operations with complete, retrievable records.

Note: External events could be changes in the global or local economy that prompt Customs authorities to increase audits or introduce new trade measures (e.g., higher duties, quotas, or licensing requirements) to protect revenue or domestic industries. Internal events include divestitures, acquisitions, business or operational changes, resource actions, new products, new or discontinued trade programs, etc.

Risk/Exposure:
Failure to identify and mitigate risk associated with country-unique import requirements (e.g., used goods, encryption/dual-use controls, antidumping/countervailing duties, etc.) may result in civil or criminal penalties, shipment delays, loss of IBM's import privileges, and reputational harm.

Context: Customs risk consists of both qualitative and quantitative factors. Qualitative risk is driven by regulatory complexity, enforcement practices, and changes in country-specific requirements, and is assessed by Customs management. Qualitative risk is also influenced by how promptly regulatory changes are identified and implemented across processes and systems. Quantitative risk is influenced by the volume of imports, the value of goods, and the actual or potential duty and tax impact associated with specific activities or trade programs.
Country-unique requirements present increased risk because they require local process adaptations and execution discipline at the shipping or clearance location.
Risks may be higher in countries that are not members of the World Trade Organization (WTO) and/or have not ratified key trade agreements, where regulatory frameworks may be less harmonized and enforcement unpredictable.

Risk Signal Examples:
- Data and declaration anomalies
- Expired import licenses
- Valuation outliers vs. historical price bands / large valuation variances
- Customs inquiries and post-entry adjustments
- Unreconciled inventory in CFZ/bonded warehouses
- Recent regulatory/rate changes or updates to preferential programs without corresponding process updates

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 4. Customs Risk Management
Primary Test: Import Licenses, Permits, Certificates, Notifications (CR001.P)

Context: Some countries impose pre-import approvals (e.g., import licenses, permits, certificates, encryption/dual-use clearances, notifications). Non-compliance can trigger shipment holds, penalties, or suspension of import privileges.

Objective:
To validate whether all required import licenses, permits, certificates, notifications, and pre-approvals were identified, valid, and complied with at the time of import, including adherence to local conditions and record-keeping requirements.

Process Review Approach:
Review the documents and the relevant processes to determine the following:
- Country prohibitions and, for restricted products, the requirements for import licenses, permits, certificates, or other approvals.
- Roles and responsibilities for identifying requirements, obtaining approvals, monitoring validity periods, updating changes, and ensuring brokers receive correct instructions.
- Confirm how regulatory changes, product changes, and new business models are assessed and considered in the process.
- Confirm import license validity periods and renewal processes.
- Assess how approval documents are stored, linked to import transactions, and retained for the statutory period. Verify the mechanism for tracking expirations and renewals.
- Process how exceptions, discrepancies, or missing approvals are escalated and corrected.

Sample Testing Approach:
Use available IDR data (import/export reports, import/export licenses, import/export fines, SPI and Customs requirements) and process knowledge for risk-based sampling, including where applicable:
- Imports to new markets, newly acquired IBM entities, or countries with unique rules, dual use/tech controls, or sanctions.
- Imports of new products or products with end-use restrictions.
- Expired import licenses, or documented exceptions.

For each sampled case, re-perform the requirements determination by checking the product's HS code, attributes, country of origin, and applicable local rules. Review evidence and validation criteria for each sampled case to confirm that:
- All required approvals existed, were valid on the import date, and matched the shipment scope.
- Approval references were correctly reflected in Customs entry documentation and communicated to the broker.
- Complete approval documentation and related evidence were retained in the local repository and retrievable.

Location: This test can be performed remotely from a central location.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 4. Customs Risk Management
Primary Test: Antidumping/Countervailing Duty (CR002.P)

Context: Antidumping/countervailing duties (ADD/CVD) apply when goods are sold below fair market value (FMV) or benefit from foreign government subsidies. ADD/CVD are punitive measures, and rates can be very high, sometimes exceeding 100% of the goods' value. Therefore, Customs authorities view ADD/CVD as a high-risk area, expecting close scrutiny to prevent duty avoidance through misclassification, undervaluation, or incorrect origin declarations.
IBM imports few products that are subject to ADD/CVD today. However, with changes to our business model, suppliers, and product portfolio, a process must exist to identify any products that could become subject to these duties. The risk to IBM is unnecessary duty payments or underpayment exposure when documentation supporting non-applicability is not retained by IBM or our suppliers.

Objective:
To validate whether imports subject to antidumping or countervailing duties were correctly identified, accurately declared, properly paid, and supported by appropriate documentation, including cases of nonpayment.

Process Review Approach:
Review ADD/CVD process and controls to determine the following:
- Review how it is determined whether any imported products fall under ADD/CVD measures, including coordination with upstream functions (e.g., Manufacturing, Procurement).
- Roles and responsibilities for identifying ADD/CVD applicability, validating product classification, confirming declared value and origin, and ensuring brokers receive correct instructions.
- Assess defined controls for ensuring ADD/CVD duties are calculated, declared, and paid correctly.
- Assess how certificates of origin, supplier origin statements, and supporting documents are stored and retained to justify non-applicability when ADD/CVD does not apply.
- Confirm escalation and resolution process for discrepancies or potential ADD/CVD risks (e.g., classification concerns, unusual price variances).

Sample Testing Approach:
Use available data (import/export reports, Import/export fines, SPI and Customs requirements, ADD/CVD list) and process knowledge for risk-based sampling, including where applicable:
- Imports classified under HS codes subject to ADD/CVD measures.
- Products where ADD/CVD applicability depends on country of origin and supplier-provided certificates.
- Imports with large valuation variances.

Review evidence and validation criteria for each sampled case to confirm that:
- For products subject to ADD/CVD, declared HS classification, valuation, and origin were consistent with documentation provided to GLTC by the source of supply (also, HS code was consistent with GLTC classification records).
- Correct ADD/CVD rate was used, and the correct amount was declared and paid.
- For products not subject to ADD/CVD, valid and complete supporting documentation was available (e.g., supplier's country of origin certificates, etc.).

Location: This test can be performed remotely from a central location.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 4. Customs Risk Management
Primary Test: Special Trade Programs, Free Trade Agreements, Special Duty Provisions (CR003.P)

Context: Special trade programs, free trade agreements (FTA), and special duty provisions can significantly reduce duties but require strict compliance with program rules. Examples of relevant programs, where IBM may opt to participate, include the United States-Mexico-Canada Agreement (USMCA), Mercado Común del Sur (MERCOSUR) in Latin America, and China-ASEAN FTA in Asia. Non-compliance could result in an inability to support claims for participation and benefits received, fines and penalties, loss of program benefits, repayment of duties, shipment delays, or reputational damage. Because preferential duty claims rely heavily on accurate product and origin determination and documentation, strong controls are required before IBM claims such benefits.

Objective:
To validate whether imports benefiting from special trade programs, FTAs, or special duty provisions were properly identified, accurately declared, compliant with program requirements, and supported by required documentation.

Process Review Approach:
Review special trade programs, FTAs, and special duty provisions in which IBM participates to determine the following:
- Review roles and responsibilities for determining eligibility, validating origin or qualifying criteria, collecting and verifying required documentation, and providing instructions to brokers.
- Assess defined controls for ensuring that program conditions (e.g., origin rules, value content, direct shipment requirements) are met before preferential treatment is claimed, documentation retained for the statutory period, and discrepancies are escalated and resolved.
- Processes exist for monitoring changes to program rules, supplier changes, or product changes that may impact eligibility.

Sample Testing Approach:
Use available data (Trade programs list, import/export reports) and process knowledge for risk-based sampling, including where applicable:
- Imports where preferential duty treatment was claimed.
- Imports with strict criteria or high financial benefit.
- New suppliers, new products.

Review evidence and validation criteria for each sampled item to confirm the following:
- Product was eligible for claimed preferential duty treatment based on qualifying content or program criteria, and participation terms were adhered to.
- Duty rate applied and declared matches the program rules.
- All required supporting documentation (such as certificates of origin, qualifying value content of materials, proof that imports were wholly produced in or products of a specific country) was valid, complete, and retained.
- For exceptions, corrective actions or disclosures were performed as required.

Location: This test can be performed remotely at a central location (review of the documentation). Samples may also be tested at receiving docks to confirm adherence to the documented process.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 4. Customs Risk Management
Primary Test: Customs Free Zones (CR004.P)

Context: Customs Free Zones (CFZ) include secure areas operating under the supervision of Customs authorities, such as Foreign or Free Trade Zones, Special Economic Zones, Software Technology Parks, Export Processing Zones, and bonded warehouses. They are generally treated as outside the Customs territory for import duty and tax purposes or operate under special trade rules. CFZs are used primarily to defer duties or taxes until goods enter domestic commerce or are exported. In manufacturing CFZs merchandise may be stored, manipulated, manufactured, destroyed, exhibited, or temporarily removed, subject to proper permits. Even where CFZ operations have been discontinued, inventory and Customs records must remain retrievable for the full statutory or regulatory retention period, whichever is longer.

Objective:
To validate whether operations conducted under CFZ or bonded regimes complied with authorization requirements, maintained accurate inventory controls, and supported proper Customs reporting and record retention.

Process Review Approach:
Determine whether IBM operates in any CFZs, bonded warehouses, or similar Customs-controlled regimes in the countries in scope. If yes, continue with the process review and sample testing.
Obtain an overview presentation for CFZs and bonded warehouses.
Review relevant documentation (local authorizations, approvals, or permits for operating in a CFZ or bonded regime), associated terms and conditions, and processes to determine the following:

- Roles and responsibilities and management system for inventory management, Customs declarations, broker oversight, and compliance monitoring.
- Defined inventory tracking and reconciliation processes between internal records and (external) Customs records, including frequency and tolerance levels where applicable.
- Processes for identifying, escalating, and resolving inventory discrepancies, missing goods, Customs inquiries, and documentation retention.

Sample Testing Approach:
Use available data (CFZ locations) and process knowledge for risk-based sampling, including where applicable:

- High-value or high-volume goods admitted into CFZ or bonded warehouses.
- Movements involving manufacturing, manipulation, or repackaging activities.
- Transfers or removals from the CFZ into domestic commerce or export.
- Locations with prior inventory discrepancies or Customs inquiries.

Review evidence and validation criteria for each sampled item to confirm the following:

- Goods were admitted, processed, stored, and removed in accordance with CFZ or bonded authorizations terms and conditions.
- Inventory records accurately reflect physical movements and reconcile with (external) Customs records, if permitted.
- If external reconciliation to Customs records is required or permitted locally, confirm reconciliations are completed within the required time frame and tolerance levels.
- Duties and taxes were properly declared and paid when goods were removed into domestic circulation.
- Identified missing or unlocated inventory was highlighted by the supplier/broker to IBM and an appropriate declaration to Customs and duty payment was made.
- Required documentation and inventory records were retained for the statutory period.

Location: This test can be performed at a central location.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 5. Monitoring

Objective:
To assess whether methods of oversight and monitoring of IBM and supplier processes were effective to either confirm compliance or detect errors and to ensure that Customs recommendations were implemented.

Risk/Exposure:
Failure to effectively monitor compliance with Customs requirements may lead to shipment delays, penalties, increased audit scrutiny, loss of trusted trader privileges, financial exposure, and reputational harm.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 5. Monitoring
Primary Test: Monitoring (MO001.P)

Context: Ongoing monitoring (e.g., management and supervisory activities, reviews, comparisons, reconciliations, broker accuracy checks, transaction/valuation/classification testing, supplier oversight, self-assessment, and other controls within individual processes) is a core COSO component and a prerequisite for trusted-partner programs with Customs. Effective monitoring should confirm compliance, detect errors early, drive corrections (including amended entries where appropriate), and ensure any recommendations from Customs Audit are implemented.

Objective:
To assess whether IBM's oversight and monitoring of Customs activities, including those performed by logistics suppliers, were effective in confirming compliance, detecting errors and to ensuring that Customs recommendations were implemented.

Process Review Approach:
Review established monitoring framework and related processes to determine the following:
- Roles and responsibilities are clearly defined for monitoring Customs compliance, including frequency, scope, escalation, root-cause analysis, ownership of follow-up actions, documentation, and reporting.
- Management has defined risk-based monitoring activities (e.g., regular testing and reviews) aligned to Customs risk exposure, covering areas, such as classification, Customs declarations, etc.
- Management has a clear course of actions to ensure effective tracking and responding to Customs inquiries, audits, or recommendations, including assessment of whether internal control or process changes are required.

Sample Testing Approach
Use available IDR data (Controls, testing, and measurements) and process knowledge to select a judgmental sample of monitoring activity. Review evidence to confirm:
- The monitoring review was performed in accordance with defined procedures and within the expected timeframe.
- Identified errors or anomalies were accurately assessed for Customs impact, and corrected, where appropriate.
- Responsibility for corrective action was assigned, tracked, and closed.
- Root causes were identified and addressed through preventive actions (e.g., updated broker instructions, supplier engagement, process or system changes).
- Repeat errors were analyzed to detect patterns indicating control weaknesses.

Location: This test can be performed remotely from a central location.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 6. Compliance

Objective:
To assess that the established and operated management system, including procedures, government reporting, record-keeping, training, and system access requirements, effectively supports compliance with applicable international trade regulations and timely detection and dimidiation of non-compliance.

Risk/Exposure:
Lack of awareness of trade compliance requirements could lead to unintentional non-compliance. Potential penalties include monetary fines, loss of market access, imprisonment, and debarment. Also, failure to properly retain international trade related documentation can result in IBM's inability to support international trade declarations which could further lead to the associated loss of duty savings and/or penalties to IBM.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 6. Compliance
Primary Test: Balance of Trade Reporting (CO001.P)

Context: Many countries require statistical or regulatory reporting of cross-border movements of goods (e.g., the US Electronic Export Information (EEI), EU Intrastat). These filings are used by governments for trade statistics, enforcement risk targeting, and economic policy decisions. Errors or late filings may result in monetary penalties, increased regulatory scrutiny, or audit exposure, particularly where reporting relies on data sourced from multiple systems or third-party providers.

Objective:
To validate whether balance of trade reporting was accurate, complete, and submitted within required timeframes in accordance with applicable regulations, and whether identified errors were corrected when permitted.

Process Review Approach:
Review processes and controls supporting balance of trade reporting to determine the following:
- Regulatory reporting obligations (including changes) are clearly identified, including applicable thresholds, filing deadlines, and correction requirements.
- Roles and responsibilities are defined for data preparation, review, submission, correction, and record retention, including responsibilities performed by logistics suppliers or brokers.
- Controls exist to ensure consistency between information used for balance of trade reporting and commercial documentation (e.g., export commercial invoices, shipping documents, system shipment data).

Sample Testing Approach
Using available IDR data (import/export reports) and process knowledge for risk-based sampling, including where applicable:
- Shipments subject to balance of trade reporting thresholds or involving regulatory changes.
- High-value or high-volume shipments where statistical impact is material.

Obtain corresponding balance of trade reports. For each sample, review evidence to confirm that:
- The shipment was correctly identified as reportable under applicable balance of trade regulations.
- Information reported was complete and consistent with source documentation.
- Balance of trade reports were filed with the responsible regulating authorities within required time frames.
- Reporting records and supporting documentation were retained and retrievable, in line with local requirements.

Location: This test can be performed remotely from a central location.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 6. Compliance
Primary Test: Address Work File (CO002.P)

Objective:
To validate whether ship-to-code (STC) master data was properly authorized, accurate, and controlled to support export compliance requirements, including denied party controls and adherence to applicable export regulations and IBM policies.

Process Review Approach:
Review AWF governance, access controls, and maintenance processes to determine whether:

- Roles and responsibilities for creating, modifying, approving, and deleting STCs are clearly defined and limited to authorized personnel.
- Controls exist to ensure STC additions, changes, and deactivations are properly requested, authorized, screened, and documented prior to activation.
  Note: Additional approvals are required and obtained for higher-risk ship-to scenarios, such as triangular shipments (pre-approval from CHQ), consignment shipments (from Global Tax-Intercompany and/or IRO), ship-to locations differing from bill-to entities.
- System access is restricted to current employees with business need, and access is removed timely when no longer required.
- Process is in place for deleting STCs that were no longer needed.
- AWF is screened against any additions to the denied party list (Moody's Grid DPL tool offers daily validations for all existing STCs).

Sample Testing Approach
Obtain list of ship-to addresses created or modified during the audit period. For a risk-based sample, confirm the following:

- The ship-to request was properly authorized prior to creation or modification, where required.
- Ship-to address information maintained in AWF matches approved source documentation (e.g., ship-to requests).
- Denied party screening was performed timely and documented, with any matches appropriately resolved.

Note: The following categories of consignment shipments are pre-approved by Global Tax-Intercompany:

1. *Scrap, yield, loss, or experimental parts for analysis only*
2. *Unqualified pre-production parts for laboratory evaluation*
3. *Reusable expense items (e.g., tubes, trays, carriers, etc.,) which physically ship with the products*
4. *Products returned for re-work or repair.*

Location: This test can be performed remotely from a central location.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 6. Compliance
Primary Test: Education and Regulation Awareness (CO003.P)

Context: Trade compliance relies on personnel in key roles having sufficient awareness of applicable import and export regulatory requirements. The key Global Logistics contacts are listed in the ICP document maintained by the responsible operating unit ERC and import regulation executive (IRE). ERO and IRO define the education requirements in USERP section 2 part 2.5 and Import Regulation Subject Guidance respectively.

Objective:
To validate whether employees in identified key trade compliance roles received appropriate and timely export and import compliance training aligned to their responsibilities.

Process Review Approach:
Review the education and awareness framework to determine whether:
- Key roles requiring trade compliance knowledge are clearly identified.
- Training requirements are defined, tailored to the role, and communicated to the impacted personnel.
- Participation and completion are tracked (including responsibilities for tracking) and documented.

Sample Testing Approach:
From the population of employees identified in the ICP as key compliance contacts, select a judgmental sample of Global Logistics employees and confirm the following:
- Required trade compliance training was completed during the audit period.
- Training content aligned with the individual’s responsibilities.
- Evidence of completion was retained and retrievable.

Location: This test can be performed remotely from a central location.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 6. Compliance
Primary Test: Records Retention (CO004.P)

Context: Import and export records are required to support movement of goods, Customs declarations, government reporting, participation in special trade programs, and responses to regulatory audits. Export control documents include, but are not limited to manifests, invoices, AWB and BOL, and export declarations. The minimum required export information includes the full name and address of the individual or firm to whom the export was made, a full description of each commodity exported, units of quantity and value of each commodity exported, and export date. From an import perspective, documentation is frequently required to support external audits of imports by Customs and Tax authorities.
Records retention requirements are defined in IBM's Worldwide Records Management Plan (WRM) and USERP Section 2, Part 2.7.

Objective:
To validate whether import and export records required by applicable regulations and IBM policies are retained and retrievable within required timeframes.

Process Review Approach:
Review records-retention governance and processes to determine whether:
- Regulatory and IBM (WWRM) record-retention requirements for import and export documentation (including document types) are clearly defined, communicated, and reflected in Global Logistics procedures, contracts, and instructions to logistics suppliers.
- Roles and responsibilities are established for record creation, storage, retention, and retrieval, including responsibilities assigned to logistics suppliers.
- Special programs or regimes (e.g., imports requiring licenses, imports into CFZ, bonded operations, preferential trade programs) have documented and compliant record-keeping requirements.
- Processes exist to ensure record continuity and transfer in the event of system changes, provider changes, or organizational transitions.

Sample Testing Approach:
Using shipment, declaration, and program participation data, select a risk-based sample of import and export transactions, such as:
- Transactions subject to licenses, special trade programs, or bonded/CFZ regimes.
- Transactions processed through GL (logistics suppliers) and not by GL (if any) systems/ processes.
- High-value or high-risk transactions.

For each sampled transaction, confirm the following:
- Required supporting documents (e.g., commercial invoices, transport documents, Customs declarations, licenses or certificates, program documentation) were complete and in line with country or program requirements.
- Records are retained for the required statutory period.
- Records can be retrieved within a reasonable timeframe and in a usable format.

Location: This test can be performed remotely from a central location.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 6. Compliance
Primary Test: Separation of Duties and System Access (CO005.P)

Objective:
To validate system access and separation of duties (SOD) supporting trade compliance processes are appropriately designed, reviewed, and managed to prevent or detect unauthorized or conflicting activities.

Process Review Approach:
Review the CI FIN 182 - Management Self-Assessment of Control, Appendix C - Separation of Duties.
Review any risk acceptance on system access to ensure they were properly completed, approved, and secondary controls are executed.
Review SOD matrix, supplier contract, and system access governance for trade compliance-related processes to determine whether:

- Periodic SOD assessments are performed and approved at an appropriate management level (process owner or delegate).
- System access roles are clearly defined and mapped to the assigned tasks and responsibilities of each user group.
- Conflicting role/duties are identified and either eliminated, mitigated through effective secondary controls, or formally accepted based on documented risk assessment.
- Secondary controls for unresolved conflicts are clearly defined, documented, and operating as intended.
- System access is restricted to authorized users based on job responsibilities (e.g. responsible for measurements has no access to alter system records).
- Access is reviewed periodically and removed timely for employees or contractors who no longer require it.

Sample Testing Approach:
Using system access listings and SOD matrix, select a risk-based sample, such as:

- Users with access to multiple trade compliance-related functions.
- Users assigned in the areas that create authorization of return product, receipt of goods, disassociation of parts, or unblocking of orders for suppliers.
- Users with elevated or administrative access.
- Recently hired, transferred, or terminated users.

For each sampled case, confirm that:

- Assigned system access aligned with the user’s role and responsibilities.
- Secondary controls for identified SOD conflicts were documented and operating.
- Access removal for terminated or transferred users was completed timely.

Location: This test can be performed remotely from a central location.